Basic Economics Cheat Sheet

1. Key Economic Terms

- **Economics**: The study of how societies allocate scarce resources.
- **Microeconomics**: Focuses on individual consumers, firms, and markets.
- **Macroeconomics**: Examines the economy as a whole, including GDP, inflation, and unemployment.
- **Supply and Demand**: Fundamental concept determining market prices.
- **Opportunity Cost**: The value of the next best alternative foregone when making a choice.
- **Inflation**: The general rise in prices over time.
- **GDP (Gross Domestic Product)**: The total value of all goods and services produced within a country.
- **Fiscal Policy**: Government spending and taxation policies to influence the economy.
- **Monetary Policy**: Central bank actions (e.g., interest rates) to control money supply and inflation.
- **Market Equilibrium**: The point where supply equals demand.

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2. Basic Economic Principles

- **Scarcity**: Resources are limited, leading to the need for efficient allocation.
- **Incentives Matter**: People and businesses respond to benefits and costs.
- **Trade-offs**: Choosing one option often means giving up another.
- **Comparative Advantage**: The ability to produce goods or services at a lower opportunity cost than others.
- **Marginal Analysis**: Examining the additional benefits and costs of an economic decision.

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3. Types of Economic Systems

- **Market Economy**: Decisions are made by individuals and businesses with little government intervention (e.g., the U.S.).
- **Command Economy**: The government makes all economic decisions (e.g., North Korea).
- **Mixed Economy**: A combination of market and government control (e.g., most modern economies).

- **Traditional Economy**: Based on customs and traditions (e.g., some tribal societies).

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4. Supply and Demand Concepts

- **Law of Demand**: As price decreases, quantity demanded increases, and vice versa.
- **Law of Supply**: As price increases, quantity supplied increases, and vice versa.
- **Elasticity**: Measures how much quantity demanded or supplied changes in response to price changes.
- **Market Surplus**: Occurs when supply exceeds demand.
- **Market Shortage**: Occurs when demand exceeds supply.

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5. Key Macroeconomic Indicators

- **Unemployment Rate**: The percentage of the labor force without jobs.
- **Consumer Price Index (CPI)**: Measures inflation by tracking price changes of common goods.
- **Interest Rates**: The cost of borrowing money, set by central banks.
- **Trade Balance**: The difference between exports and imports.
- **National Debt**: The total amount of money a government owes.

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6. Economic Policies and Theories

- **Keynesian Economics**: Advocates government intervention to stabilize the economy.
- **Classical Economics**: Believes in minimal government involvement and free markets.
- **Monetarism**: Focuses on controlling money supply to manage economic stability.
- **Supply-Side Economics**: Emphasizes reducing taxes and regulations to encourage production.

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7. Common Economic Graphs & Models

- **Supply and Demand Curve**: Shows price and quantity relationships.
- **Production Possibility Frontier (PPF)**: Illustrates trade-offs and opportunity costs.
- **Phillips Curve**: Shows the inverse relationship between inflation and unemployment.
- **Circular Flow Model**: Demonstrates interactions between households and businesses.
- **Lorenz Curve**: Depicts income inequality.

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8. Economic Institutions & Organizations

- **IMF (International Monetary Fund)**: Provides financial aid to countries in crisis.
- **World Bank**: Funds economic development projects.
- **WTO (World Trade Organization)**: Regulates international trade.
- **Federal Reserve (U.S.)**: Manages monetary policy.
- **OECD (Organization for Economic Cooperation and Development)**: Promotes economic growth and trade policies.